

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

CASE

Tycoon Holdings Limited (“Tycoon Holdings”), a Hong Kong company, is the holding company of a renowned financial conglomerate based in Hong Kong. It was founded by Mr Chan in the 1980s. Mr Chan and Mrs Chan own 60% and 40% of the issued shares of Tycoon Holdings respectively since its incorporation. Tycoon Holdings and its subsidiaries close their accounts on 31 December annually.

In the 1990s, Tycoon Holdings developed its banking business in Hong Kong. Tycoon Bank (HK) Limited (“Tycoon Bank HK”) is a Hong Kong licensed bank. It was incorporated and listed in Hong Kong. Tycoon Holdings and the public own 70% and 30% of the issued shares of Tycoon Bank HK respectively. Subsequently, Tycoon Holdings extended its banking business to the United States (“US”) through Tycoon Bank (US) Inc (“Tycoon Bank US”), a US licensed bank incorporated in the US and wholly owned by Tycoon Holdings.

New cryptocurrencies business

In 2015, Ben, Mrs Chan’s brother, created and issued D-Coins in the US, which has become one of the most widespread and best known cryptocurrencies around the world. In the same year, Ben established Coins Miner Inc (“Coins Miner”) in the US as the exchange house of D-Coins in New York (“D-Coins Exchange”). Ben and Mrs Chan own 40% and 60% of shareholding of Coins Miner respectively.

Having envisaged the potential development of virtual currencies business, on 1 May 2016, the board of directors of Tycoon Holdings resolved to step into this emerging business. To start up the new business, Tycoon Holdings set up a wholly owned subsidiary named Tycoon Coins Limited (“Tycoon Coins”) in Hong Kong on 1 June 2016, engaging in the provision of D-Coins exchange brokerage services (Note: assuming that D-Coins is legally permissible to be traded in Hong Kong).

Tycoon Coins has set up a sales and marketing team in Hong Kong to promote and procure prospective clients both in Hong Kong and overseas who wish to open trading accounts and subscribe to brokerage services at prescribed rates of brokerage fee. The agreements for opening trading accounts are negotiated, discussed and concluded with the clients in Hong Kong or overseas depending on their convenience.

The clients are required to place transaction orders through a web-based trading instruction platform named “D-Coins Easy”, which was developed by Tycoon Coins and maintained in a server in Hong Kong. Tycoon Coins receives instructions from the clients through D-Coins Easy and then places orders on behalf of the clients to the brokers in the US who would execute the trades on D-Coins Exchange. Tycoon Coins regularly forwards the latest market news and reports of its analysts to clients. In each transaction, Tycoon Coins issues contract notes and settlement documents to clients. Monthly transactions summaries are prepared by Tycoon Coins to clients showing the details of the transactions completed.

The US brokers charge Tycoon Coins brokerage fees at market rate. With a view to rewarding the effort of Tycoon Coins in promoting D-Coins in Hong Kong, Coins Miner pays a rebate of the brokerage fee to Tycoon Coins by reference to a percentage of what was charged by the US brokers.

For the use of the trademark of D-Coins in D-Coins Easy, Tycoon Coins has to pay a yearly license fee of HK\$2,500,000 to Coins Miner, the trademark owner of D-Coins which was registered in the US.

New Branch in Kai Tak Development Zone

Tycoon Bank HK decided to expand its branch network in the Kai Tak Development Zone in view of the potential development there. Along with the policy that the branches were generally accommodated at self-owned properties, Tycoon Bank HK acquired a shop premises in San Po Kong ("San Po Kong Shop") on 1 November 2017 at a cost of HK\$35,000,000 with sitting tenancy at a monthly rent of HK\$100,000 for the use of the new branch after the expiry of the sitting tenancy on 31 October 2018. San Po Kong Shop was recognised as capital assets in the statement of financial position as of 31 December 2017. Shortly after the acquisition of San Po Kong Shop, Tycoon Bank HK was approached by a property developer in January 2018 to explore the possibility of setting up a branch in its newly erected shopping mall in the Kai Tak Development Zone. Having considered the attractive location and monthly rent demanded, Tycoon Bank HK accepted the offer, and the new branch was opened there in October 2018. San Po Kong Shop was sold at a consideration of HK\$40,000,000 in November 2018.

Bill's employment with Tycoon Bank US

Bill is a Hong Kong permanent resident. He started his career with Tycoon Bank US as a management trainee after his graduating from tertiary education in the US in 2008. Since then, Bill had worked with the US office of Tycoon Bank US and never came back to Hong Kong for private or business purposes. He eventually obtained the US citizenship at the beginning of 2015. Subsequently, he was seconded to Tycoon Bank HK for 3 years.

Bill's terms of employment with Tycoon Bank US remained unchanged during his assignment to Tycoon Bank HK, including two tranches of share options granted by Tycoon Bank US:

- (a) Tranche A: granted on 1 August 2016, he was awarded the right to acquire 20,000 shares in Tycoon Bank US at exercise price of US\$2 per share if he was still employed by Tycoon Bank US on 31 July 2017.
- (b) Tranche B: granted on 1 September 2017, he was awarded the right to acquire 10,000 shares in Tycoon Bank US at exercise price of US\$3 per share if he was still employed by Tycoon Bank US on 31 August 2018.

Bill came back to Hong Kong and commenced his assignment on 1 April 2018. During the basis period ended 31 March 2019, Bill stayed in Hong Kong each month for 18 days.

On 31 March 2019, he exercised the above two tranches of share options at closing price of US\$10 per share.

Question 1 (12 marks – approximately 22 minutes)

- (a) State the criteria for an entity (including non-Hong Kong resident) to be qualified for the two-tiered profits tax rates.
(6 marks)
- (b) Evaluate the eligibility of Tycoon Holdings, Tycoon Coins, Tycoon Bank HK and Coins Miner for making election for the two-tiered profits tax rates. Compute the percentage of ownership and control of each of the taxpaying entities to support your answer.
(6 marks)

Question 2 (12 marks – approximately 22 minutes)

- (a) With reference to the Departmental Interpretation and Practice Note No. 21 (Revised) and the relevant case law, explain the principles adopted by the Inland Revenue Department (“IRD”) for determining the source of brokerage income derived from brokerage business.
(8 marks)
- (b) Analyse, with reference to the principles and practice established by the IRD, the taxability of the brokerage income and rebate from brokerage services received by Tycoon Coins from the brokerage services.
(4 marks)

Question 3 (13 marks – approximately 23 minutes)

- (a) Determine the possible types of tax which Tycoon Bank HK was chargeable to with respect to the rental income received from the sitting tenant of San Po Kong Shop, and available relief, if any.
(3 marks)
- (b) Describe the tax filing obligation of Tycoon Bank HK when the San Po Kong Shop was sold.
(2 marks)
- (c) Analyse whether the IRD can establish that Tycoon Bank HK has changed its intention of holding San Po Kong Shop from investment to trading.

Note: You are not required to make detailed reference to the conventional six badges of trade. Marks will be awarded for reasonable arguments on change of intention based on the available information in the case, and any other additional evidence required with reference to recent development of case law.

(8 marks)

Question 4 (13 marks – approximately 23 minutes)

- (a) Determine the source of Bill's income from employment for the year of assessment 2018/19, including whether or not he will be able to claim time apportionment for tax purposes. (5 marks)
- (b) Advise the taxability of the share option gains realised by Bill, and compute the amount of such taxable gain, if any, to be reported in his Tax Return – Individuals for the year of assessment 2018/19. (exchange rate: US\$1 = HK\$7.8). (8 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 5 (12 marks – approximately 22 minutes)

NY & Co (“NYC”) is an audit firm providing audit and tax compliance services to its clients. Recently, NYC has been appointed by GG Trading Company (“GGT”), a sole-proprietorship established by Mr Chan, to provide tax return filing services.

In preparing the profits tax computation of GGT for the year of assessment 2018/19, the tax manager of NYC reviewed GGT’s prior years’ tax records and found that there are persistent errors in the information submitted to the IRD. Specifically, the assessable profits of GGT calculated in its profits tax computations for the years of assessment 2016/17 and 2017/18 were HK\$830,000 and HK\$940,000 respectively, whilst the assessable profits erroneously stated in its tax returns were HK\$380,000 and HK\$490,000 for the corresponding years. The tax manager further noted that the IRD has already issued assessment notices for the respective years based on the incorrect information stated in the tax returns, and accordingly charged the profits tax liabilities based on the incorrect records.

Required:

- (a) **Analyse the potential penalty exposures of Mr Chan as the sole proprietor of GGT, if any, based on the information found by the tax manager of NYC.**

Note: You are not required to compute the amounts of penalty, if any, for the relevant years.

(8 marks)

- (b) **In accordance with the relevant ethical considerations, determine what should be done by NYC as the tax representative of GGT in connection with the abovesaid findings.**

(4 marks)

Question 6 (10 marks – approximately 18 minutes)

Dr Ma is a dental surgeon and has been employed by New Hope Hospital (“NHH”), a famous private hospital in Hong Kong, as an in-house dentist specialising in implant dentistry. Except the abovesaid employment, Dr Ma did not have any other employment or practise dentistry on his own as a business.

Last year, with the help of the laboratory of NHH, Dr Ma successfully invented a new synthetic material for dental implantation surgery. The synthetic material was previously registered by Dr Ma as patent, and recently the patent was acquired by a reputable life science company at HK\$4 million for further development. Pursuant to the agreement between Dr Ma and NHH, Dr Ma would be entitled to HK\$2.5 million of the proceeds derived from the disposal of the patent whilst NHH would be entitled to the remaining balance of HK\$1.5 million.

Required:

In line with the applicable legal principles in the contexts of provision of employment services and badges of trade respectively, evaluate whether Dr Ma should be subject to either salaries tax or profits tax, or should not be assessable to any tax, in respect of the abovesaid HK\$2.5 million.

Note: You are not required to draw any conclusion in your answer regarding the taxability of the proceeds to be received by Dr Ma.

(10 marks)

Question 7 (9 marks – approximately 16 minutes)

Recently Mr Lee, together with his wife Mrs Lee and his mother Ms Cheung (“the Party”), entered into a provisional sale and purchase agreement (“PSPA”) with a property developer for acquiring a residential property on Hong Kong Island at a consideration of HK\$12 million. According to the terms of the PSPA, the Party is required to pay 5% of the consideration upon the execution of the PSPA. 5 days after entering the PSPA the Party entered a formal sale and purchase agreement (“FSPA”) with the property developer, with all the terms same as the PSPA. The balance of the consideration would be settled progressively until the completion of the property development and the execution of the conveyance on sale.

Due to the adverse sentiment in the local property market, the Party notified the property developer of the cancellation of the acquisition of the residential property two months after the execution of the FSPA. Pursuant to the stipulated terms in the PSPA, the consideration paid by the Party so far would be forfeited, and both the PSPA and FSPA would be annulled.

It is also noted that both Mr Lee and Mrs Lee are Hong Kong permanent residents, whilst Ms Cheung is a non-Hong Kong permanent resident. All of them did not have any residential properties in Hong Kong upon executions of the PSPA and FSPA.

Required:

Analyse the stamp duty implications of the incidents as mentioned above and calculate the stamp duty liabilities, if any.

(9 marks)

Question 8 (5 marks – approximately 9 minutes)

Lunch (HK) Ltd (“LHL”) is a Hong Kong incorporated company engaging in canned luncheon meat trading in Hong Kong. LHL has a wholly owned subsidiary established in Shenzhen, China namely Lunch (SZ) Ltd (“LSL”). It was noted that in September 2018, LSL declared and paid dividend to LHL from its after tax retained earnings. Subsequently, in December 2018, LHL decided to increase the registered share capital of LSL by the amount equivalent to the dividend received from LSL in September 2018.

Required:

Analyse the PRC tax implications in accordance with the abovesaid information.

(5 marks)

Question 9 (14 marks – approximately 25 minutes)

Mr Chow is a practising CPA carrying on an audit business in the form of a sole-proprietorship. He is also appointed as an Independent Non-executive Director (“INED”) of a company listed in Hong Kong. Concurrently he owns two properties in Hong Kong deriving rental income. During the year ended 31 March 2019, he derived and incurred the following income and expenses:

	HK\$
<u>Sole-proprietorship business</u>	
Net profits for the year	2,538,000
Expenses included in accounts	
- Salary to Mr Chow’s sister	240,000
- Rental expense paid to Mr Chow’s brother for leasing of the business office premises	300,000
- Contribution of Mandatory Provident Fund (“MPF”) for Mr Chow himself as self-employed person	18,000
- Interest paid to Mr Chow for his own capital contribution	26,000
<u>INED</u>	
Director fee	90,000
Voluntary contribution to MPF paid by Mr Chow	3,000
<u>Properties leasing</u>	
- Property A rental income (net of Rates)	375,000
- Property B rental income (net of Rates)	196,000
- Mortgage interest for Property A	85,300
- Mortgage interest for Property B	170,000

Other expenses and information

During the year, Mr Chow, a director of Po Leung Kuk, donated HK\$250,000 to this charity body (the amount had not been deducted in his sole-proprietor business’s accounts). He also paid HK\$120,000 to a local university for pursuing a master program in accountancy during the year.

Required:

On the basis that Mr Chow is only entitled to his own personal allowance, compute his tax payable for the year of assessment 2018/19 under personal assessment.

Note: Show your workings where applicable.

(14 marks)

* * * END OF EXAMINATION PAPER * *